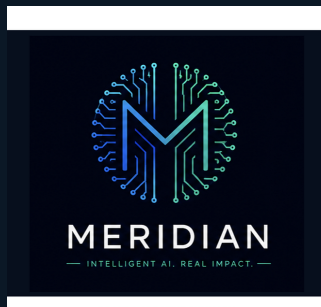




# Arcade Trader

## Strategic Report

Initial four-domain analysis, prepared for John Webb O'Rourke

For review before taking to John Lynch

**PRIVATE AND CONFIDENTIAL | INITIAL DRAFT**

### EXECUTIVE SUMMARY

Arcade Trader has a real base -- industry knowledge, engineering capability, machine sales and used-machine trading, European trading experience -- but a thin digital footprint (arcadetrader.ie is a holding page) and a business that depends on lumpy, one-off equipment sales. Two moves define the opportunity.

- 1. Pivot from reseller to a recurring-revenue services company** (equipment + installation + contracted maintenance + refurbishment + trade-in + cashless retrofit + design). This fixes the top risk, builds a resilient income base, and is defensible for an Irish specialist on response time and local coverage.
- 2. Turn the regulatory upheaval into the sales pitch.** Ireland's gambling regime is being rebuilt under the Gambling Regulation Act 2024 and the new regulator. The supplier who arrives regulation-aware -- keeping operators on the right side of the amusement-versus-gaming line -- has a stronger proposition than one who simply sells machines.

*And there is an immediate, verified lead: a newly permitted arcade in Midleton (Coalquay Leisure), at fit-out stage now.*

### THE MARKET (verified)

The Irish sector splits three ways, with real named operators in each: **seaside arcades** (Tramore, Sands Bundoran, Pirates Cove Courtown, Seapoint Salthill); **family entertainment centres** (Leisureplex; Funtasia, Drogheda -- local); and **adult gaming venues** (Dr Quirkey's Dublin, Silver Strand Bray).

#### The real competitive set

- **Tobyco / Arcade Machines (Wexford)** -- in coin-op since 1984, all-Ireland coverage, 7-day support. The closest direct analogue.
- **Game Amusements (Lisburn, NI)** -- already markets supply-plus-maintenance across NI and RoI; already claims the position Arcade Trader is aiming at.

- Plus the upstream tier Arcade Trader buys from: Bandai Namco Amusement Europe, Sega Amusements Europe, Electrocoin, Moss Distributing.

**White space:** incumbents already do break-fix. The under-occupied space is **structured, contracted, recurring service** -- SLA-backed maintenance, planned refurbishment, cashless retrofits, single-supplier managed relationships -- by an Irish specialist. **Corrections:** the "Am-Bee" link to Dr Quirkey's is unverified (Quirke family owns it) -- drop it; no reliable Ireland-only market size exists, so quote none.

## THE STRATEGIC MOVE: RESELLER TO RECURRING SERVICES

Low-conceptual-risk, because it monetises an installed base and engineering capability Arcade Trader already has. It fixes the lumpy-sales risk; it lifts enterprise value (recurring contracted income earns a higher multiple than project sales); and it is defensible on local response time UK/EU suppliers cannot match.

Revenue lines in priority: (1) **maintenance/service contracts + spares** (first, most important); (2) **refurbishment + trade-in** (fast-follow, capital-light, builds on the used-machine trading); (3) **cashless retrofit** (rides the strongest trend); (4) **design/consultancy** for new venues (the wedge that wins the fit-out); (5) **managed/revenue-share placement** (highest value but capital-intensive and gaming-rule-entangled -- hold for later).

*Illustrative economics (Meridian model, ESTIMATE -- needs John Lynch's real numbers): a per-machine maintenance contract ~EUR 900-1,600/yr at ~55-65% margin; a per-venue relationship ~EUR 15,000-45,000/yr. Shapes to show the compounding logic of recurring revenue, not quotes.*

## THE REGULATORY LANDSCAPE (the differentiator)

### The fault line: amusement vs gaming machine

- **Amusement machine** -- replay or non-monetary prize (Revenue threshold ~EUR 7). Lighter excise permit regime, largely outside heavy gambling controls.
- **Gaming machine** -- a money prize. Gambling: local-authority Part III adoption + District Court certificate + Revenue gaming licence; max stake EUR 5, max prize EUR 500 (2019 Act); min age 18.
- The more a machine pays real money, the deeper into the regime it and its operator fall. This one line should drive product positioning.

### The reform: Gambling Regulation Act 2024 and the GRAI

The Act creates the Gambling Regulatory Authority of Ireland (established 5 March 2025) as the single licensing body, replacing the fragmented system. Phased: betting first (2026), **gaming and in-person licensing 2027-2028**. Penalties up to EUR 20m or 10% of turnover. New duties for operators (licensing, advertising limits, safer gambling, exclusion register, age 18, social-impact levy); the Act appears to preserve a lighter carve-out for genuine amusement machines.

### What it means for Arcade Trader (the supplier)

- The licence sits with the **operator, not the supplier** -- nothing reviewed requires a supplier licence to sell/lease machines today.
- **Key open question:** whether the GRAI B2B phase (2027-2028) will introduce a supplier-side licence/registration for gambling-equipment suppliers. Monitor with GRAI; flag to John Lynch.
- **The opportunity:** be the compliance-aware partner -- machines pre-configured to the EUR 5/EUR 500 limits; cashless, traceable, age-gated equipment; compliance advice; and lean into the amusement/redemption category the Act keeps outside the heaviest rules. The pitch: "this range keeps you out of the gambling licence regime; this range is GRAI-ready if you want gaming." Turns regulation

from threat to sales conversation.

## THE MIDLETON LEAD AND THE PIPELINE (verified)

**Midleton arcade -- VERIFIED, warm lead.** Gaming/amusement arcade at 54 Main Street and Distillery Lanes, Midleton; applicant **Coalquay Leisure Ltd** (existing East Cork operator); planning ref **25/6968**; granted ~23 Dec 2025. Possible further-information thread -- confirm final status/appeal on the Cork County Council portal. Existing operator = warm approach. (Separate from John's own Midleton primary care centre.)

**Wider pipeline:** Killarney Outlet Centre FEC (COK Property, owner-operated, strong lead); Roxy Ball Room Dublin; Lane7 Dundrum; King Pins Belfast and Hollywood Bowl Banbridge (NI chains, harder to design into -- prioritise the RoI owner-operated venues).

*How to win them: design-in at fit-out stage -- get specified into the floor layout and machine mix before the order is placed. The window opens at grant and closes when the fit-out contract is signed (~3-9 months for a build like Midleton). Move on Coalquay now.*

## SHARPENED 100-DAY PLAN

**Days 1-30:** rebuild pipeline and database; launch a real website with case studies; define the maintenance-contract product (SLA, price, response time). **Days 31-60:** launch the maintenance and refurbishment offer to the existing base; build a named-target operator list; open the cashless-retrofit line. **Days 61-100:** approach Coalquay (Midleton) and Killarney with a floor-layout and machine-mix proposal; meet key operators; establish supplier partnerships.

## RISKS AND THE HONEST CHALLENGE

- **The binding constraint is the single owner** -- the business is one person deep. Scaling recurring service needs it to stop being just John Lynch. This is the thing to solve.
- Cash flow through the transition from lumpy sales to a recurring base; regulatory-cycle risk if operators exit cash gaming; and three things must go right: the installed base converts, the business gains depth, and the SLA is honoured.

## VERIFICATION FLAGS (before external use)

Confirm the Midleton permission's final status/appeal (ref 25/6968); confirm the exact Revenue excise figures and the ~EUR 7 amusement threshold against primary text; **monitor the GRAI B2B phase** for supplier licensing (the key open question); all unit economics are Meridian illustrative models needing John Lynch's real data; Arcade Trader's current model rests on his own account -- confirm with him.

Meridian Intelligence · Arcade Trader initial strategic report · Four-domain verified analysis · 25 July 2026 · Private and confidential. For John's review before taking to John Lynch.